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Economies & Diseconomies of Scale

Exam code: 0450, 0986 & 0264, 0774

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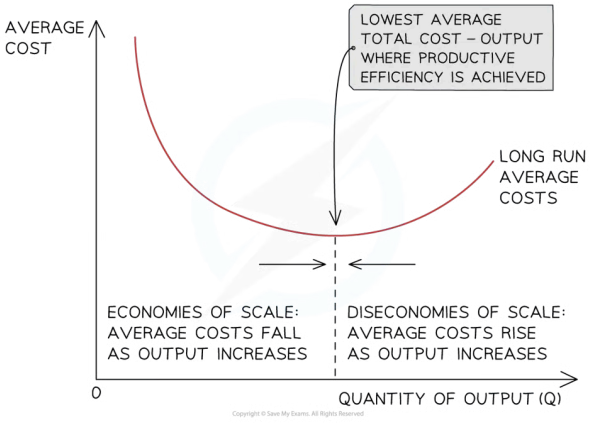
Economies of scale

- As a business grows, it is able to increases its **scale of output which** generates efficiencies that lower its **average costs (AC)** of production
  - These efficiencies are called **economies of scale**
  - Economies of scale help large firms lower **their costs of production** beyond what small firms are able to achieve
- Economies of scale can result in **lower average (or unit) costs**, not lower total costs
  - The total costs will increase, but at a decreasing rate per unit

Explaining economies of scale



Economies of scale lower average costs as the scale of output increases

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Got it

economies of scale, which lower the average cost per unit
- The business will reach a level of output at which costs are minimised
  - This point is found at the dotted line in the image above

Types of economies of scale

Help me understand

- Economies of scale are generated by several internal factors, some of which the business has control over

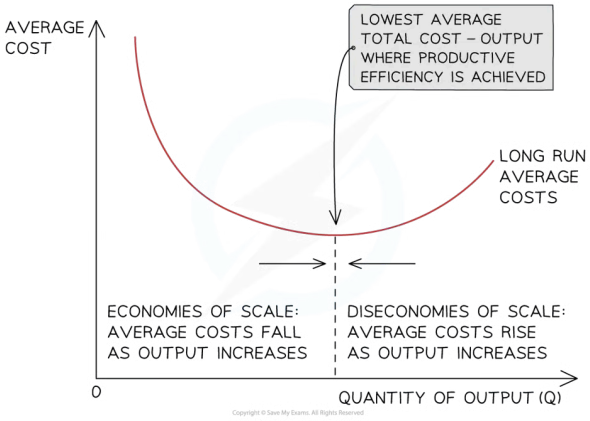
Type of economy of scale	Explanation
Purchasing economy	• Occurs when large firms buy raw materials in greater volumes and receive a bulk purchase discount • This lowers the average cost and provides a **competitive advantage** over smaller businesses
Managerial economy	• Occurs when large firms can **employ specialist managers** who are more efficient at certain tasks ○ This efficiency lowers the average cost • Managers in small firms often have to fulfil multiple roles and are less specialised
Marketing economy	• Occurs when large firms spread the cost of advertising over a large number of sales, reducing average costs • They can also reuse marketing materials in **different geographic regions**, which further lowers the average costs
Financial economy	• Banks are more **willing to lend** to large businesses, as they present less of a risk than small businesses • They are **charged a lower rate of interest** on borrowing, reducing average costs
Technical economy	• Occurs as a firm is able to use its machinery at a **higher level of capacity** due to increased output • This spreads the cost of the machinery over more units and lowers the average cost

A common mistake is to think economies of scale always reduce total costs. They actually reduce **average cost per unit** – total costs will still rise as output increases

Diseconomies of scale

- **A diseconomy of scale occurs when an increase in the scale of output results in a higher cost per unit**
- As a firm continues increasing its **scale of output**, it will reach a point where its **average costs (AC)** will start to **increase**

Explaining diseconomies of scale



Diseconomies of scale occur when average costs increase with increasing output

- At some level of output, a firm will **not be able to reduce costs** any further. This point is called **productive efficiency**
- Beyond this level of output, the average cost will begin to rise as a result of **diseconomies of scale**
- This indicates that there is an optimal level of output that exists when the state of technology and capital (machinery) is fixed

Types of diseconomies of scale

- Diseconomies of scale highlight that it is possible for a business to become so **large that it becomes less and less efficient**
- A business experiencing diseconomies of scale may **reconsider its organisational structure** to improve communication and coordination problems
  - Many very large businesses often **break themselves up into autonomous smaller units,** which can communicate more effectively

The causes of diseconomies of scale

Poor communication	• As a business increases in size, **more managers and employees will join the business** • **Communication becomes slower** and mistakes may be made, leading to **worsening efficiency**
Weak coordination	• **Time-consuming decision-making** may make it harder to coordinate workers and physical resources • The **chain of command** is likely to lengthen, limiting **interaction with employees**
Lack of commitment from employees	• As the business grows **workers may feel less valued** as their interaction with management is limited • Workers may **become demotivated**, leading to a fall in output which can increase average costs

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